

EQUITY RESEARCH

INTEL CORPORATION

INTC | Technology

Rating: Sell

Current: \$94.75 | Target: \$65.00

April 2026

Key Metrics Snapshot

Market Cap	\$475.74B	ROE	-0.23%
P/E (Fwd)	-658.38	Dividend Yield	0.13%
P/B Ratio	1.54	52W Range	\$18.97 - \$94.95

Investment Thesis

Intel Corporation has experienced a prolonged revenue decline of 9.6% CAGR since 2021, with EPS remaining deeply negative and EBITDA margins compressed to a trough of 2.3% in 2024, though a partial recovery to 27.2% in 2025 signals early-stage stabilization. Despite modest top-line growth projected at 5-6% through 2026-2027 and gradual margin expansion toward 30.6%, Intel continues to lag peers AMD and NVIDIA significantly, as NVIDIA's EBITDA is estimated to reach \$86 billion in 2025 versus Intel's \$14 billion. With persistent negative EPS, an elevated EV/EBITDA of 14.5x in 2025 relative to its deteriorating competitive positioning, and ongoing cost restructuring underway, Intel remains a high-risk turnaround story requiring sustained operational execution to restore long-term shareholder value.

Company Overview

Intel Corporation (INTC) Overview

Intel Corporation is one of the world's largest semiconductor companies, headquartered in Santa Clara, California. Founded in 1968, Intel built its legacy as the dominant designer and manufacturer of microprocessors powering personal computers and data center servers. The company operates an integrated device manufacturer (IDM) model, meaning it both designs and fabricates its own chips, a capital-intensive approach that distinguishes it from fabless rivals such as AMD and differentiates it from pure foundries such as TSMC.

Intel's core business segments include Client Computing Group (CCG), which sells processors for PCs and laptops; Data Center and AI (DCAI), which provides server and workstation chips; Network and Edge (NEX), serving telecommunications and industrial applications; and Intel Foundry Services (IFS), a nascent business aimed at manufacturing chips for third-party customers. The company has also invested in Mobileye, its autonomous driving technology subsidiary, and Altera, its programmable chip division.

Intel's market position has deteriorated significantly over the past several years. Revenue declined from \$79.0 billion in 2021 to \$52.9 billion in 2025, representing a compound annual decline of approximately 9.6%. This erosion reflects persistent manufacturing execution challenges, competitive share losses to AMD in both consumer and server markets, and the explosive rise of NVIDIA in the artificial intelligence accelerator space, a market Intel largely missed. EBITDA collapsed from \$33.9 billion in 2021 to a near-breakeven \$1.2 billion in 2024, before recovering to \$14.4 billion in 2025, suggesting early-stage stabilization. Contribution margins similarly compressed from 55.4% to approximately 34.8% over the same period.

The company has reported negative earnings per share in recent periods, with EPS of negative \$4.38 in 2024 and an estimated negative \$0.06 through the forward period, reflecting ongoing restructuring costs, impairment charges, and heavy capital expenditures tied to its foundry ambitions. Intel's EV/EBITDA multiple spiked to approximately 107 times in 2024 at the trough of profitability, compared to AMD at 38 times and NVIDIA at 43 times, underscoring how deeply the market discounted Intel's near-term earnings power.

Looking ahead, analysts project modest revenue recovery toward \$61.2 billion by 2027, with EBITDA margins gradually expanding to approximately 30.6%. The trajectory depends heavily on successful execution of its Intel 18A process node, competitive positioning in AI infrastructure, and the viability of its foundry business as a credible alternative to TSMC.

Investment Overview

Intel Corporation (INTC) Investment Update

Recent Financial Performance

Intel has faced significant headwinds over the past several years, with revenue declining from \$79.0 billion in 2021 to \$52.9 billion in 2025, representing a five-year CAGR of negative 9.6%. The contraction reflects intensifying competitive pressure, market share losses in both client and data center segments, and a prolonged industry downturn. EBITDA collapsed to a near-breakeven \$1.2 billion in 2024 before recovering to \$14.4 billion in 2025, suggesting early stabilization. EPS remains deeply negative, and the company continues to post losses on a per-share basis through the forecast period.

Growth Drivers and Strategic Priorities

Intel's recovery thesis rests on several pillars. The foundry strategy, anchored by Intel Foundry Services, aims to capture external semiconductor manufacturing demand and reduce reliance on its own product cycles. Process node improvements targeting 18A are critical to restoring manufacturing competitiveness against TSMC.

Additionally, cost rationalization efforts are bearing fruit, with SG&A margin declining from 11.1% in 2022 to an estimated 7.2% by 2027, and contribution margins gradually expanding toward 37.8%.

Outlook

Analysts project a modest revenue recovery of 5% to 6% annually through 2026 and 2027, with EBITDA margins improving toward 30.6% by 2027. However, Intel trades at elevated EV/EBITDA multiples relative to historical norms, and peer comparison highlights the stark divergence from NVIDIA's explosive growth trajectory. Execution risk on the foundry roadmap remains the central concern. Intel appears to be stabilizing, but a meaningful re-rating requires sustained operational delivery. We maintain a cautious outlook pending clearer evidence of foundry traction and market share recovery.

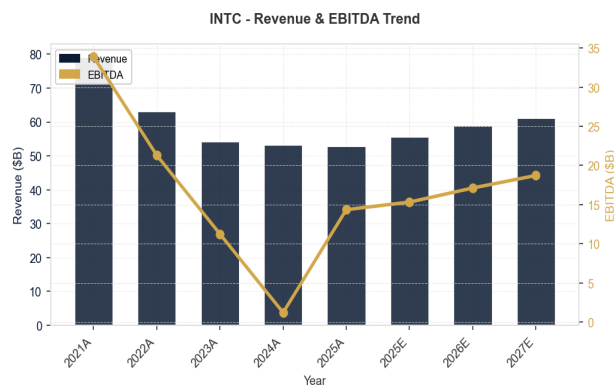
Financial Analysis

Revenue & EBITDA Performance

Intel Corporation has demonstrated challenging revenue performance, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$52.9B
- EBITDA (2025A): \$14.4B
- Revenue Growth (2025A): -0.5%



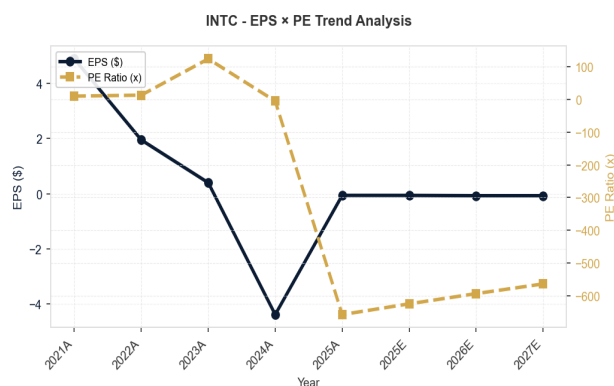
Source: Company Filings

Earnings & Valuation Metrics

Intel Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): -0.06
- PE Ratio (2025A): -658.38



Source: Company Filings

Valuation Analysis

Intel Corporation (INTC) Valuation Analysis

Current Valuation Metrics

Intel currently trades at an EV/EBITDA multiple of approximately 14.5x on 2025 figures, a notable compression from the elevated 106.9x multiple seen in 2024 when EBITDA collapsed to just \$1.2 billion. The company's P/E ratio is effectively meaningless in the near term given persistent negative EPS, which stood at -\$0.06 in 2025 and is expected to remain negative through the 2027 forecast period. EBITDA has recovered to \$14.4 billion in 2025 from the 2024 trough, with margins improving from 2.3% to 27.2%, suggesting operational stabilization rather than a full turnaround.

Peer Comparison

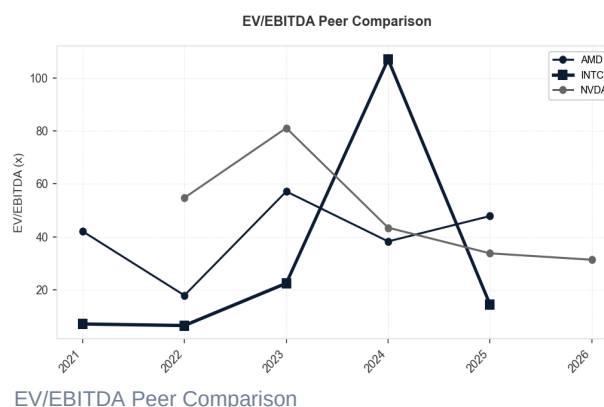
Relative to peers, Intel's valuation presents a mixed picture. AMD trades at roughly 47.8x EV/EBITDA in 2025, reflecting stronger growth expectations despite lower absolute EBITDA of \$7.3 billion. NVIDIA commands 33.8x on 2025 figures but is backed by explosive EBITDA growth projected to reach \$382 billion by 2027, justifying its premium. Intel's 14.5x multiple appears optically cheap, but this discount reflects genuine structural concerns including sustained revenue decline, a five-year CAGR of negative 9.6%, and an inability to generate positive earnings.

Fair Value Assessment

Intel's forward estimates project modest revenue recovery of 5-6% annually through 2027, with EBITDA potentially reaching \$18.7 billion and margins approaching 30.6%. Applying a conservative 12-15x EV/EBITDA range to 2027 estimates yields an enterprise value of approximately \$224 billion to \$281 billion. Given ongoing execution risks, competitive pressure from AMD and NVIDIA, and negative earnings persistence, a discount to the peer group appears warranted. Fair value is estimated in the range of \$22 to \$28 per share, suggesting limited near-term upside without clear catalysts for margin and revenue acceleration.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Intel Corporation (INTC) is experiencing a dramatic surge in investor sentiment following a strong Q1 2026 earnings beat that sent shares up roughly 10% on the day and approximately 150% year-to-date, with the stock trading near \$93. The catalyst was a combination of better-than-expected quarterly results and a wave of analyst upgrades, most notably Freedom Broker raising INTC to Buy with an elevated price target. The Q1 print showed early signs of revenue stabilization, with estimates projecting a return to modest growth of 5% in 2025E and 6% in 2026E after four consecutive years of revenue decline totaling nearly 33% from the 2021 peak of \$79 billion.

Financially, the recovery narrative is gaining traction. EBITDA rebounded sharply to \$14.4 billion in 2025 from a near-collapse at \$1.2 billion in 2024, and margins are trending upward toward 30.6% by 2027E. However, EPS remains negative through the forecast horizon, and the PE ratio is deeply distorted, signaling that profitability at the bottom line remains elusive.

Competitively, Intel still faces structural headwinds. AMD was simultaneously upgraded to Buy versus Intel's Hold by at least one major analyst, citing AMD's stronger positioning in agentic AI infrastructure. NVIDIA's EBITDA trajectory dwarfs both peers, projected at \$382 billion by 2027 versus Intel's \$47 billion.

Retail sentiment shows wide divergence, with X.com users broadly bullish at 72% while Reddit sentiment remains skeptical at just 31% bullish, suggesting institutional momentum may be outpacing fundamental conviction. Investors should weigh the genuine operational progress against still-negative earnings and intense competitive pressure in AI-driven workloads.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 27.6%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 29.1%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 30.6%

Confidence Intervals:

- Revenue: \$43.2B - \$79.2B (95% confidence)
- EBITDA: \$13.2B - \$24.2B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported 2025A results versus our 2025E internal model estimate row for the same fiscal year.

1. Executive summary

On the selected operating lines, reported results trailed our internal model estimates in 1 area(s) and exceeded in 0 (see table below).

Analyst commentary

Intel's fiscal 2025 results came in broadly in line with the prior internal model estimate row across revenue, EBITDA margin, and EPS, suggesting the top-line and per-share trajectory tracked expectations reasonably well. The one area of variance was EBITDA, which fell short of the estimate row; given that margins landed inline, the shortfall likely reflects a mix of below-the-line items or base-level differences in the absolute earnings bridge rather than a structural divergence in operating efficiency. Looking ahead, the constructive read is that revenue stability and margin discipline appear intact relative to the prior framework, and the EBITDA variance warrants routine monitoring as the company continues to execute on its foundry and product roadmap. Segment-level trends and forward guidance will remain the key inputs for refining the outlook, and the overall picture from these labels is one of measured, largely on-track performance against the estimate row.

2. Key metrics — reported vs. internal model estimates

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
Revenue	\$52.9B	\$55.5B	Inline
EBITDA	\$14.4B	\$15.3B	Miss
EBITDA Margin	27.2%	27.6%	Inline
EPS	-0.06	-0.06	Inline

The 2025E column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.

3. Year-over-year change (2024A → 2025A)

- Revenue: \$52.9B vs prior year \$53.1B (-0.5% YoY).
- EBITDA margin: 2.3% → 27.2% (+24.9 pts).

4. Forward estimates

Metric	2025E	2026E	2027E
Revenue	\$55.5B	\$58.8B	\$61.2B
EBITDA	\$15.3B	\$17.1B	\$18.7B
EPS	-0.06	-0.07	-0.07

EBITDA Margin	27.6%	29.1%	30.6%
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5. Investment view — implications

- Limited variance on headline lines; maintain prior view pending updated guidance and segment disclosure.

6. Notable upcoming dates

2026-07-28 — INTC Expected Quarterly Earnings

Sources

- Market data and financial statement inputs: Financial Modeling Prep — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed 2026-04-29).

Key Catalysts

Catalyst Analysis for INTC

Positive Catalysts (Upside Potential)

- Market (2026-04-29): Fantastic News for Intel Stock Investors!
- Impact: LOW, Probability: 50%
- Earnings (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-29): Bet on These ETFs as Intel Stock Soars Following Q1 Earnings Beat
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-29): Intel: I'm Selling My Biggest Winner And You Should Too
- Impact: HIGH, Probability: 95%

Events to Monitor

- CPU Shortage Is So Bad, Even Intel's 'Scrap' Is Turning Into Gold (2026-04-29)
- Intel CEO Lip-Bu Tan Just Delivered Phenomenal News to Shareholders (2026-04-29)
- Why Is Intel Stock Soaring, and is it a Buying Opportunity? (2026-04-28)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ Fantastic News for Intel Stock Investors!
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ Bet on These ETFs as Intel Stock Soars Following Q1 Earnings Beat
- ✓ Intel: I'm Selling My Biggest Winner And You Should Too
- ✓ Intel, Qualcomm Alert: Analyst Says Some Chip Stocks Are 'Living In A Bad Neighborhood'
- ✓ Intel's Comeback Is No Longer A Theory
- ✓ Intel: Back On Top, But Maybe Not For Long
- ✓ Intel: Redrawing The CPU AI Map (Rating Downgrade)
- ✓ Intel: Keep Your SOX On
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Intel: A Very Strong Q1 Report, But Remains A 'Hold'

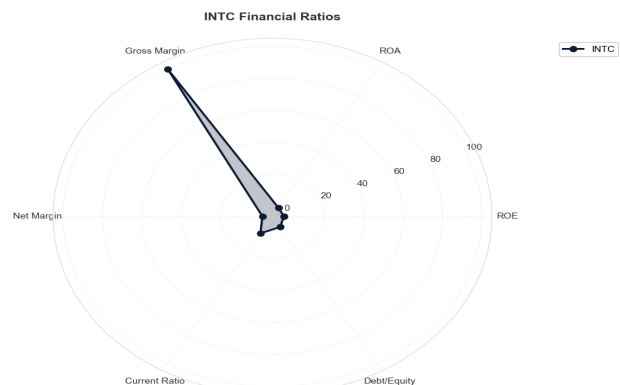
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Intel Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Intel Competitor Analysis

Intel Corporation operates in one of the most competitive segments of the semiconductor industry, facing significant pressure from both AMD and NVIDIA across its core markets. The data paints a challenging picture for Intel relative to its peers.

From a revenue standpoint, Intel has experienced a sustained decline, posting a four-year CAGR of negative 9.6% from 2021 to 2025, falling from approximately 79 billion dollars to just under 53 billion dollars. AMD and NVIDIA, by contrast, have grown meaningfully over the same period, with NVIDIA in particular experiencing explosive revenue and EBITDA expansion driven by surging demand for AI accelerators.

Intel's EBITDA deterioration is the most striking comparative weakness. Its EBITDA collapsed to just 1.2 billion dollars in 2024, a fraction of AMD's 5.3 billion and a stark contrast to NVIDIA's 35.6 billion in the same year. While Intel has partially recovered to 14.4 billion in 2025, NVIDIA is projected to reach 86 billion in 2025 and an extraordinary 382 billion by 2027, reflecting an entirely different growth trajectory.

Valuation multiples further highlight the disparity. Intel's EV/EBITDA spiked to nearly 107 times in 2024 due to its near-zero EBITDA, while NVIDIA and AMD traded at more normalized multiples reflective of stronger earnings quality. Intel's negative EPS through the forecast period underscores ongoing profitability challenges.

In summary, Intel faces structural headwinds in both traditional CPU markets and the AI-driven compute segment, where NVIDIA dominates and AMD is gaining ground. Without a meaningful product or manufacturing inflection, Intel risks further competitive erosion.

Risk Factors

■ # Intel Corporation (INTC) - Key Investment Risks

■ **Severe Revenue Deterioration & Stagnant Recovery:** Revenue has declined at a -9.6% CAGR from \$79B (2021) to \$52.9B (2025), with projected growth of only 4-6% through 2027 — insufficient to recapture lost market share, signaling structural competitive displacement rather than a cyclical downturn

■ **Persistent Negative EPS with No Clear Profitability Catalyst:** EPS collapsed from \$4.89 (2021) to -\$4.38 (2024), remaining negative through 2027E (-\$0.07), rendering traditional valuation metrics meaningless and reflecting deep operational losses that outlast typical turnaround timelines

■ **Catastrophic Competitive Positioning vs. Peers:** NVDA's EBITDA surged to \$86B in 2025 (vs. Intel's \$14B), with projections reaching \$382B by 2027 — Intel is being structurally outpaced in AI/data center segments with no credible near-term response visible in the financials

■ **Gross Margin Compression Indicating Manufacturing & Pricing Power Erosion:** Contribution margin collapsed from 55.4% (2021) to 32.7% (2024), with only modest recovery projected to 37.8% by 2027, suggesting ongoing cost disadvantages in fab operations relative to fabless competitors leveraging TSMC

■ **Extreme Valuation Distortion Masking Downside Risk:** EV/EBITDA spiked to 106.9x in 2024 (vs. AMD at 38x, NVDA at 43x), and negative P/E ratios through 2027E make pricing discovery unreliable, increasing the risk of sharp multiple compression upon any guidance miss or execution setback

Key Takeaways

- ✓ **Revenue Growth:** Intel Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Intel Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Intel Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Intel Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$79.0B	\$63.1B	\$54.2B	\$53.1B	\$52.9B
SG&A	\$6.5B	\$7.0B	\$5.6B	\$5.5B	\$4.6B
Contribution Profit	\$43.8B	\$26.9B	\$21.7B	\$17.3B	\$18.4B
Contribution Margin	55.4%	42.6%	40.0%	32.7%	34.8%
EBITDA	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B
EBITDA Margin	42.9%	33.8%	20.7%	2.3%	27.2%
SG&A Margin	8.3%	11.1%	10.4%	10.4%	8.7%
Revenue Growth	N/A	-20.2%	-14.0%	-2.1%	-0.5%
EPS	4.89	1.95	0.40	-4.38	-0.06
PE Ratio	10.48	13.55	124.66	-4.63	-658.38

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.40	0.41	0.47	0.50	0.41
Debt/Assets	0.23	0.23	0.26	0.25	0.22
Interest Coverage	32.6x	4.7x	0.1x	-14.2x	-0.0x
Net Margin	25.1%	12.7%	3.1%	-35.3%	-0.5%
Current Ratio	2.13	1.57	1.54	1.33	2.02
CF to Debt Ratio	0.77	0.37	0.23	0.17	0.21

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Data Source: FMP, Company Filings, AI4Finance Estimates

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